StoreSense

As of 24 October 2026 · Sanjana Pundir
A background-first funding engine for franchise stores. It decides whether a partner and a site are worth funding, and why, then gets the approved ones open.

1. The problem in plain words

Expansion usually starts with the applicant: “I have a shop, give me a franchise.” The team then funds on enthusiasm, so stores land where the partner is keen rather than where demand and the partner’s ability to run a store meet. Partners with little retail experience open stores they cannot run, and those stores struggle quietly for months.
Two more problems follow. Stores end up too close together and take each other’s sales, or too far apart, so customers 4 to 5 km from the nearest store order elsewhere. The journey from application to open store is also slow and leaky.

2. The big idea

Score two things before any money moves. The first is the place: demand, overlap with existing stores, and payback. The second is the partner: background, retail experience, and capital discipline.
Fund only where both clear the bar. Where they do not, the answer is redirect, waitlist, hold or decline, always with the reason written down.

3. How it works: five steps

1. **Read and clean.** The data gatekeeper validates each application against allowed values, checks that the pin code matches the stated city, and flags contradictions such as “Owned” with no space size.
2. **Score the partner.** The retail readiness index carries the most weight, because the store’s long-term life depends on the operator. Weights are assumptions to be tested.

Component	Weight	What we look for
Retail experience depth	35%	Years running or managing a shop; staff, stock, supplier terms and cash handled
Relevance of current business	20%	Same or adjacent category (footwear, apparel, grocery) scores higher
Capital fit	20%	Investment capacity against the space size and floor wanted

Component	Weight	What we look for
Commitment and plan	15%	A space already found, a named store manager, a clear opening reason

Experience is read in tiers. Zero years can be funded only with a trained store manager hired before opening and mandatory pre-opening training. One to three years in the same category is a fund-with-conditions profile. Four or more years, including staff and stock management, is the strongest profile.

3. **Check site and demand.** Score each pin code on demand, territory priority, open slots, and distance to the nearest existing store. Each city tier has an overlap radius. An applicant inside it is redirected or held for a catchment check, not rejected automatically.
4. **Decide funding.** Estimate total investment (fit-out, opening stock, deposit) by tier. Payback equals total investment divided by annual contribution. A store is worth funding when the partner score clears the bar, payback is within target, the site is outside the overlap radius, and the partner keeps a cash buffer of at least three months of fixed costs after funding.
5. **Match and launch.** Fill competing slots in combined-score order and redirect the rest. For each approved partner, use ADKAR to name the gap and build a 60 to 90 day plan timed to the calendar. Diwali (around 8 November 2026) is too close to open from late October, so that applicant moves to the next festive season.

4. Rules that never bend

- The brand never opens two stores in the same pin code. Existing stores and approved applicants both count.
- Decisions come from fixed rules, so the same input always gives the same answer. AI only reads messy text and explains decisions in plain language.
- No applicant with zero retail experience is funded without the pre-opening conditions.
- No store is approved if its payback falls outside the target, whatever the partner's enthusiasm.

5. Deliverables

- **D1, decision file:** one row per application, with the decision, reasons, score breakdown, payback estimate and next action.
- **D2, redirect and gap list:** open pin codes and territories with demand but no applicant.
- **D3, territory fill-status:** slots used and open in each territory, with the reason for each slot decision.
- **D4, partner readiness plan:** for each approved partner, ADKAR gaps, a 60 to 90 day checklist, training language, owners and dates.
- **D5, chat answers:** plain-language answers to "why" and what-if questions, with the numbers behind them. New information re-runs the affected steps.
- **D6, pilot dashboard:** leading and lagging measures, described in section 10.

6. What every applicant gets

Decision	Meaning	Next step
Fund now	Right place, right partner, payback within target	Launch plan starts immediately
Fund with conditions	Good fit with one gap to close, such as a short investment or no manager	Named condition with a deadline
Redirect	Partner is good, but their pin is taken or inside the overlap radius	Offered the nearest open gap
Waitlist	Viable, but a stronger applicant took the last slot	First in line if a slot opens
Hold	Key information is missing or contradictory	Exactly what to send, in their language
Decline	Far below minimums, or no viable site in reach	Clear reason; can reapply later

7. Example (illustrative only)

APP-0XX, Hubballi-Dharwad 580020, ₹18 lakh, two years in a footwear store, space not yet identified. Decision: FUND WITH CONDITIONS.
The current business is highly relevant, which supports the partner score. Two years is a moderate experience level, so the condition is that the partner hires an experienced floor manager or completes four weeks of pre-opening training. The investment is short of the assumed Tier 2 minimum, so the condition is to close the gap with a co-investor or choose a smaller format. Payback is checked against target before any funding. Next action: shortlist two ground-floor spaces in the target pin code and schedule a site visit.
The numbers are placeholders that show the format, not outputs from real data.

8. Key assumptions and how we would check them

Assumption (starting value)	How we verify it
Minimum investment by tier: Tier 1 ₹35 lakh, Tier 2 ₹25 lakh, Tier 3 ₹15 lakh	Compare with actual fit-out and stock cost of the 10 existing stores
Overlap radius by tier: about 2.5 km, 4 km and 7 km	Compare sales of existing stores before and after a nearby opening
Target payback under 30 months	Compare with payback of current franchisees

Assumption (starting value)	How we verify it
Experience thresholds and component weights	Test against which partners survive their first six months
Demand per pin code	Replace the proxy with real online order data in the pilot

9. Frameworks used, and why

- **Demand-first site selection** (Lenskart's data-led site choice) drives step 3.
- **Low-capital, partner-run entry** (Amazon I Have Space) drives the conditional path for smaller operators.
- **Standard operating procedures and phased onboarding** (Delhivery) drive the readiness plan.
- **Cannibalisation test** (Session 1, p.19) sets the overlap radius.
- **Unit economics and LTV logic** (Session 1, p.20; Session 4, p.9) drive the payback calculation.
- **Segmentation and targeting** (Session 7) match partner profiles to formats.
- **Diffusion of Innovation** (IMD) guides the rollout: experienced local retailers are the early adopters to target first.
- **ADKAR** (Prosci) diagnoses each partner's readiness gap.
- **Hypothesis, then 90-day test** (Session 3, p.7; Session 4, p.10) structures the pilot.
- **Leading and lagging indicators** (Session 3, p.14) structure the dashboard.
- **Impact versus effort matrix** (Session 8, p.12) sequences the rollout.

SWOT, Porter's forces and AARRR are not taught in these sessions, so they are not used.

10. Rollout and how we know it works

Pilot in one city, Mysuru, for four weeks. It has two existing stores and a strong festive season around Dasara. The team and the tool decide each application side by side, and the outcomes are compared. If the pilot holds, Phase 2 covers all Karnataka cities, with the tool deciding and the team reviewing only exceptions. Phase 3 connects real order data and extends to other states.

Success is measured by five things: days from application to open store; the share of approved partners who actually open; how often the team overrides the tool; sales of nearby stores after a new opening, to confirm no overlap loss; and six-month survival of funded partners.

The main risk is that the partner score is wrong for a segment, so it should be reviewed against actual outcomes each quarter rather than trusted from day one.